Merchant of Record or PayFac?

A practical classification checklist, informed by Visa’s merchant rules and FTC v. Paddle



For acquirers, PayFacs and risk teams onboarding businesses that sell on behalf of others

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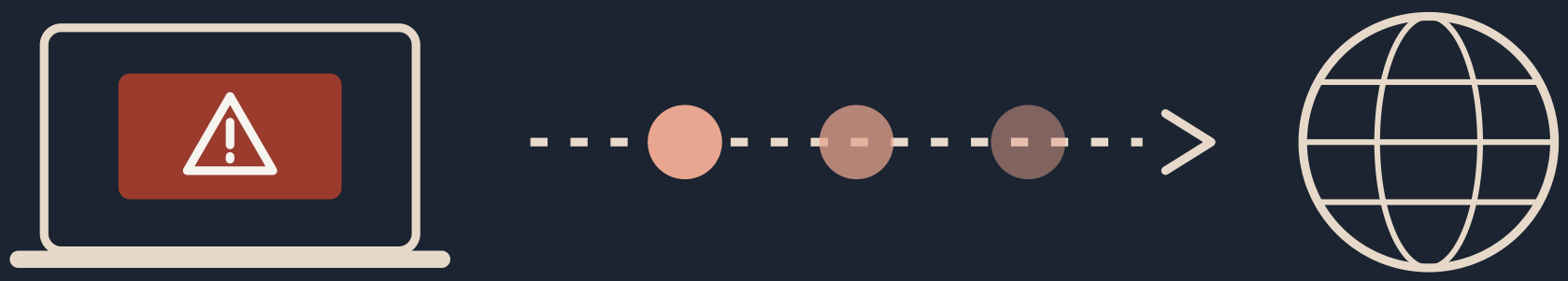
How to use this guide

Answer each question with evidence: contracts, checkout, terms of service, marketing, invoices, settlement flows, accounting and tax treatment. Don’t rely on the reseller agreement alone. Weigh the answers together. No single answer tells the whole story.

IMPORTANT

This guide is for general information and discussion only. It reflects my personal reading of public materials. It is not legal advice, a definitive interpretation of any card-network rule, or a view on any company’s current practices or compliance.

Why identifying a merchant from a PayFac matters



In our field, risk is a taxonomy: credit, fraud, operational, regulatory, reputational and financial crime. We measure it in chargeback ratios, control effectiveness and audit findings. That precision is necessary. But consumer harm does not appear on a risk register, and it is easy to lose sight of.

In FTC v. Paddle, the FTC alleged that consumers, including older adults, saw pop-ups impersonating Microsoft or McAfee warning that their computers were infected, then paid for software and support they did not need, sometimes on auto-renewing subscriptions that were never clearly disclosed. These overseas schemes allegedly reached the US card system through a provider describing itself as a merchant of record. The people affected rarely know which institutions processed the transaction, or which controls failed.

That is the purpose behind our obligations. Merchant classification is not a control in itself, but it determines which controls apply. When an intermediary is treated as a single merchant, underwriting, transaction monitoring and network oversight stop at the intermediary and never reach the sellers behind it. That is where consumer protection can quietly fail.

The real risks we are mitigating

Consumer harm from unvetted sellers

Without seller-level due diligence, deceptive merchants can reach consumers, often the most vulnerable.

Concealment of high-risk activity

When multiple sellers process under one merchant ID, a single seller's elevated chargeback and refund rates are diluted, and the account can remain within monitoring thresholds.

Loss of acquirer and network visibility

Acquirers and card networks cannot monitor, restrict or terminate a seller they cannot identify.

Facilitating unlawful activity

Including, but not limited to, unlicensed money transmission: an entity that receives and disburses funds for other sellers may need a licence, and agent-of-payee exemptions are not uniform across states. Other examples include credit card laundering under the Telemarketing Sales Rule, and AML or sanctions breaches.

Enforcement and litigation exposure

Network non-compliance assessments, regulatory investigations and defense costs, consumer redress, injunctive relief with ongoing monitoring, and private litigation, including class actions.

Importantly, monetary exposure may be measured by consumer injury, not by fees earned.

FTC v. Paddle: the facts

16 June 2025 Complaint filed → **20 June 2025** Stipulated order entered

THE COMPLAINT ALLEGED THAT PADDLE

Opened merchant accounts as a merchant of record or software reseller, then processed card payments for many unrelated third-party sellers

Let overseas schemes reach the US card system and avoid detection by banks and card networks

Processed for Restoro-Reimage, which allegedly used fake virus alerts impersonating Microsoft and McAfee

Charged auto-renewing subscriptions without clear disclosure

THE ORDER REQUIRED

$5M toward redress for Restoro-Reimage victims

A permanent ban on processing for tech-support sellers that telemarket or use security pop-ups

No assisting deceptive sellers or evading bank and network monitoring

Client screening, monitoring and reporting to payment providers

Subscription disclosure, consent and simple cancellation

Claims under the FTC Act, the Telemarketing Sales Rule and ROSCA.

Merchant, MoR or PayFac? Card rules and FTC lessons

ASK	MERCHANT	MOR / RESELLER	PAYFAC
1. Who sells the goods or services to the cardholder?	Itself, its own products	Itself, others' products under rights it holds	Its sub-merchants
2. Whose name primarily identifies the outlet? Check the billing descriptor and checkout. Does the customer deal with the seller's brand, while the entity only processes payment in the background?	Its own, on the descriptor and at checkout	**Grey zone.** Its own on the descriptor. Adding the seller's name there aids visibility and fraud detection, but weigh it against Visa's "primarily" test. If customers deal only with the seller's brand, that points to PayFac	Typically the sub-merchant's, often with the PayFac's. Customers deal with the sub-merchant's brand
3. Who gives the cardholder recourse in a dispute?	Itself	Itself	The sub-merchant. The PayFac is liable to the acquirer
4. Who owns or takes possession of the goods or services?	Itself	Itself, before the sale. Title held only for a moment is a Flash Title Transfer*	The sub-merchant
5. Who books the sale as revenue?	Itself, gross	Itself, gross	The sub-merchant. The PayFac books fees
6. Who provides customer service and handles returns?	Itself	Itself, even if outsourced	The sub-merchant
7. Who sets the price and terms?	Itself	Itself	The sub-merchant
8. Network status	Merchant	Merchant, if it genuinely sells	Registered via an acquirer
9. Who is underwritten, and by whom?	The merchant, by the acquirer	The MoR, by the acquirer. The MoR will typically vet its suppliers	The PayFac, by the acquirer. Each sub-merchant, by the PayFac, or by the acquirer where its technology allows
10. Who carries the tax obligations?	Itself	Itself, on resales, in its own name. In the US, its acquirer reports its gross sales on a 1099-K. It issues no 1099-Ks to its suppliers	Sub-merchants. In the US, the acquirer reports to the PayFac, and the PayFac typically files a 1099-K for each sub-merchant
11. What do the terms of service and marketing say?	It is the seller	It is the seller of record, consistently across terms, checkout and marketing	The PayFac provides payment services. Sellers market their own products

*** Flash Title Transfer.** Visa's rules state its recipient is not classified as a Merchant. If title passes to the applicant only momentarily before each consumer sale, treat it as a strong signal and escalate.

Doesn't fit neatly? Many models don't. The next page covers the grey zones.

Grey zones and warning signs

Some models are straightforward. Many sit in between, and new labels such as “PayFac lite” keep appearing. When the table doesn’t settle it, these points help.

SUPPORTS GENUINE RESALE

Holds a sublicensable licence and resells under it

Acquires and holds the product before selling, not just for the moment of each sale

Absorbs its own refunds and chargebacks, as a seller would

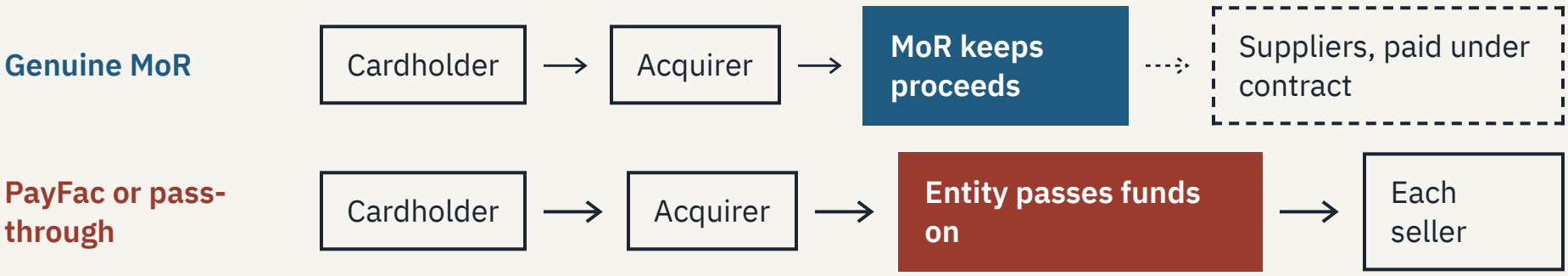
WARNING SIGNS

Multiple accounts, shell entities or volume spread across MIDs

Consumer complaints naming a brand you never onboarded

Higher-risk verticals: tech support, telemarketing, debt relief, nutraceuticals, business opportunity

FOLLOW THE MONEY



If proceeds belong to the sellers and only pass through, check money transmission licensing and exemptions in each state involved.

When sellers telemarket, a classification problem can become a legal one. The Telemarketing Sales Rule’s credit card laundering provision (16 CFR 310.3(c)) prohibits submitting a card transaction that isn’t between the cardholder and the merchant, unless the card network permits it. If an applicant presented as an MoR is in fact processing telemarketing sales for other sellers in a way network rules don’t allow, the issue is no longer only a network breach.

STILL GREY?

Go back to the risks on page 4 and what you are trying to prevent. Talk to the card brands, compare notes with industry peers and seek counsel. Document the rationale for whatever you decide.

What to look for, before and after onboarding

Business models change after launch. These signals help you see each seller and catch harm early, whatever the label.

KNOW EACH SELLER

Owners, location, website and what is actually sold

Prior terminations (MATCH), sanctions and adverse media

BBB ratings and complaints, online reviews and consumer forums

Terms of service or marketing claims that are too good to be true, or don’t match what the seller told you at onboarding

READ THE DISPUTES

Chargebacks, refunds and complaints traced to one seller

Dispute reason codes and details: fraud, not as described, cancelled subscription

Refund reasons, not just refund rates

Pre-dispute tools like RDR reviewed for root causes

WATCH FOR CHANGE

New products, websites or descriptors after onboarding

Sudden volume growth alongside rising disputes

MCCs that no longer match what is sold

ACT AND RECORD

Red flags investigated, with the action taken on record

Agreement says who monitors, offboards and reports upstream

Recurring terminations traced back to the sales channel

BEHIND EVERY RISK IS A PERSON

If a client you onboarded as an MoR changed its model after launch and was harming consumers, would you be able to identify it?

The goal is making sure every seller, and every consumer they reach, is visible to someone who can act.

SOURCES AND DISCLAIMER

FTC v. Paddle complaint and stipulated order (June 2025); FTC press release (June 2025); Visa Core Rules and Product and Service Rules (April 2026). General information only, not legal advice or a view on any company’s practices.